



ted to build brands from India and not just brands of India

Amid all the tailwinds, there are a few headwinds that may decelerate the growth momentum. Let's look at some of them.

Regulatory environment

The industry is at a very nascent stage. The implementation of Medical Device Rules 2017 has introduced new regulatory requirements, including product registration and compliance with quality standards. Navigating the regulatory landscape may be time consuming and costly. This leads to delays in go-to-market time and may hinder innovation.

Quality can never be ignored; however, a calibrated and phased implementation is the need of the hour. Policy planners should collaborate with industry advocacy groups to make the transition to a new regime seamless and devoid of business risks.

The government wants every manufacturer to take extended producer responsibility for plastics, e-waste, and batteries. These are good practices without a doubt, but at this juncture, when the industry is finding it hard to make its mark commercially in the global market, such regulations increase costs and inhibit growth.

The industry expects the government to shoulder the responsibility alongside them and share environmental and sustainability responsibilities, so that the organisations can focus more on the core functions and create greater value for the country.

Supply-chain risks

The current size of the medical industry in India is US\$12 billion, against a global market size of approximately US\$500 billion. Therefore, India accounts for just 2.5% of the global total available market. Operating at this size makes the supply chain expensive and non-competitive.

Indian manufacturers are treated as unimportant by global suppliers. As most of the components are imported into our country, we also suffer from geopolitical risks. The state can play a significant role here by liaising with semiconductor manufacturers to ensure seamless supplies at the right price for medical products' end use.

The end users' market—hospitals—in India is highly fragmented, with numerous small hospitals spread across geographies, making the downstream supply chain expensive. The market is highly driven by distributors, and products change hands multiple times before reaching the end customer. Efforts to consolidate the market could make access easier and more cost effective.

Lack of R&D and IPR protections

The current manufacturing focus is more towards product assembly. This is a good trend to start with, but it should integrate backward in the value chain and put efforts into product design and development, which requires investment. As this is a fledgling sector, businesses may not be able to invest in R&D to the extent required to become market leaders.

The government should incentivise or directly invest in building R&D clusters and test labs, or collaborate with other nations on technology sharing. This strategy has been followed by countries like China, Korea, and Israel to become market disruptors. China, even today, supports R&D through its various policy measures.

India has been criticised on global forums for its deficiencies in protecting intellectual property rights. This needs immediate attention of the government to encourage global houses to bring innovation to India.

Long product development cycle

As medical devices are used on humans, the quality norms are stringent. Regulatory standards require products to pass rigorous clinical evaluations to demonstrate their efficacy in the local context. Heavy dependence on healthcare facilities, who may in some cases be disinterested in collaborating with the developers, leads to missed opportunities.

The government can play a greater role in bridging the gap between research and adoption to encourage the uptake of innovative medical technologies. Testing products to meet the global quality standards is crucial but also expensive, which inhibits small innovators. If this activity is supported by states through either policy route, or direct investment in setting up testing ecosystems, it will go a long way in invigorating the industry.

Infrastructure and workforce

The medical devices industry requires robust infrastructure and efficient manufacturing capabilities. India faces challenges in terms of inadequate infrastructure and limited access to specialised manufacturing facilities.

Developing and maintaining a skilled workforce is vital for the growth of a robust medical devices industry. However, India faces a shortage of specialised engineers, technicians, and healthcare professionals with expertise in medical device technology. Bridging this skill gap through training and educational initiatives is essential.

In conclusion, I strongly believe that India stands at a tipping point beyond which the growth will be epic, and the changes will be so dramatic that we will become leaders in the medical device manufacturing arena. **EFY**